RESIDENTIAL LEASE AGREEMENT

State of Arizona • HIDALGO TWO LLC

Notice to Tenant: This is a legally binding agreement. Read all of it before signing. Your rights and duties are governed by this Lease and the Arizona Residential Landlord and Tenant Act, A.R.S. § 33-1301 et seq. (the "ARLTA"). A free copy of the ARLTA is available from the Arizona Department of Housing (housing.az.gov). You may consult an attorney before signing.

1. PARTIES AND REQUIRED DISCLOSURES (A.R.S. § 33-1322)

Owner / Landlord (the person or entity that owns the Premises):

Name: _____

Address: _____

Property Manager (authorized to manage the Premises and to act for the Landlord):

Company: Hidalgo Two LLC

Address: 6602 South Mitchell Dr., Tempe, Arizona 85283

Phone: (480) 318-2379

Email: _____

The Property Manager named above is authorized to receive notices, demands and service of process for the Landlord. If no Property Manager is named, the Owner receives them at the Owner address above.

Tenant(s) — every adult (18+) who will live at the Premises must be listed and must sign this Lease:

1. _____ Phone: _____ Email: _____
2. _____ Phone: _____ Email: _____
3. _____ Phone: _____ Email: _____
4. _____ Phone: _____ Email: _____

"Landlord" in this Lease means the Owner and the Property Manager acting for the Owner.

2. PREMISES

Address: _____ Unit: _____

City: _____ Arizona ZIP: _____

Included appliances / personal property, to be kept in working order by Landlord:

☐ Refrigerator ☐ Range/Oven ☐ Microwave ☐ Dishwasher ☐ Washer ☐ Dryer

☐ Storage room ☐ Garage Other: _____

Parking: Assigned spaces / location: _____

3. OCCUPANTS AND GUESTS

The Premises may be used only as a private residence and only by the Tenant(s) above and these additional occupants (minors and others):

Name: _____ Name: _____

Name: _____ Name: _____

No one else may live at the Premises without Landlord's prior written consent. A guest who stays more than **fourteen (14) days** in any six (6) month period is an occupant and needs written consent. Tenant may not sublet, assign this Lease, or rent any part of the Premises (including short-term rentals) without Landlord's written consent. Breaking this section is a material noncompliance with this Lease.

4. LEASE TERM

Start date: _____ End date: _____ Term (months): _____

When the term ends, this Lease continues **month-to-month** on the same terms unless either party gives written notice to end it at least **thirty (30) days** before the last day of the term (or, while month-to-month, at least 30 days before the next rent due date). At the end of the tenancy Tenant must return all keys and openers and vacate.

Holdover: If Tenant willfully stays after the tenancy ends, Landlord may recover up to two (2) months' rent or twice the actual damages, whichever is greater, as allowed by A.R.S. § 33-1375.

5. RENT

Monthly rent: $ _____ due on or before day _____ of each month by 5:00 p.m.

Rent is due in advance, without demand and without deductions, even if the due date falls on a weekend or holiday. (Arizona cities may no longer charge rental sales tax on residential leases as of January 1, 2025, so no tax is added to rent.)

Accepted payment methods:

☐ Online portal ☐ Bank transfer / ACH ☐ Cashier's check ☐ Money order ☐ Personal check

☐ Other: _____

Pay to / where: _____

Prorated first month: If the Lease starts on a day other than the rent due day:

Prorated rent $ _____ for _____ through _____ , due on _____

Landlord does not have to accept partial payments. Accepting a late or partial payment does not waive any right of Landlord, change the due date, or excuse the balance owed.

6. LATE CHARGES AND RETURNED PAYMENTS

Late fee: $ _____ if rent is not received by 5:00 p.m. on day _____ of the month.

Returned / dishonored payment fee: $ _____ plus the late fee, if rent is then late.

These charges are reasonable estimates of Landlord's costs and are collectible as rent. After any returned payment, Landlord may require all future payments by cashier's check or money order.

7. DEPOSITS AND FEES (A.R.S. § 33-1321)

Refundable deposits secure Tenant's performance of this Lease:

Security deposit: $ _____ Pet deposit: $ _____ Cleaning deposit: $ _____

Non-refundable fees (these are not refundable and are stated here as required by A.R.S. § 33-1321(B)):

Cleaning fee: $ _____ Redecorating fee: $ _____ Pet fee: $ _____

Other fee: $ _____ for: _____

Application / screening fee (non-refundable): $ _____ per adult applicant

Total refundable deposits plus any prepaid rent may not exceed one and one-half (1½) months' rent, unless Tenant voluntarily prepays rent. **Refundable deposits may not be used as last month's rent.** Within **fourteen (14) business days** after the tenancy ends, possession is returned, and Tenant demands it, Landlord will return the refundable deposits less lawful deductions, with an itemized list of any deductions, mailed to the forwarding address Tenant provides. Deductions may cover unpaid rent and charges and damage beyond normal wear and tear.

Move-in funds due (certified funds or approved electronic payment):

First month / prorated rent $ _____ + deposits $ _____ + fees $ _____

= TOTAL DUE AT MOVE-IN: $ _____ due by (date): _____

Refundable deposits will be held by: ☐ Landlord/Owner ☐ Property Manager

8. APPLICATION AND SCREENING

This Lease depends on Landlord's satisfactory review of each adult Tenant's application, including employment, income, credit, rental history, and criminal background. Tenant confirms the application is true and complete. A material false statement on the application allows Landlord to end this Lease and seek all lawful remedies. Tenant's payment history under this Lease may be reported to credit bureaus.

9. UTILITIES AND SERVICES

Check who pays each item. The responsible party must set up service in its own name by the start date and keep it on through the move-out inspection.

Electricity	☐ Landlord	☐ Tenant	Gas	☐ Landlord	☐ Tenant
Water	☐ Landlord	☐ Tenant	Sewer	☐ Landlord	☐ Tenant
Trash / recycling	☐ Landlord	☐ Tenant	Internet / cable	☐ Landlord	☐ Tenant
Landscaping service	☐ Landlord	☐ Tenant	Other: _____	☐ Landlord	☐ Tenant

10. PETS

"Pets" include any animal, bird, fish, or reptile. **Assistance animals** (service and support animals) are not pets, and no pet deposit or pet fee applies to them; requests are handled under fair housing law.

☐ No pets allowed without Landlord's prior written consent.

☐ Pets allowed (type, breed, weight, name): _____

Tenant is responsible for all pet damage, waste cleanup, and noise, and must keep pets leashed or contained outside the home. Unauthorized pets are a material noncompliance.

11. SMOKING, VEHICLES, AND PARKING

Smoking: Smoking or vaping of any substance (including tobacco and marijuana) is **prohibited inside the home and garage**. Tenant is responsible for smoke odor and damage.

Maximum number of vehicles on the property: _____

All vehicles must be operable, currently registered, and parked only in the driveway, garage, or assigned spaces — never on landscaping or the yard. Inoperable, unregistered, or abandoned vehicles, boats, trailers, and RVs may not be stored on the property without written consent. See also Section 25 (Additional Terms).

12. KEYS AND LOCKS

Door keys: _____ Garage openers: _____ Mailbox keys: _____ Gate/other: _____

Locks were re-keyed after the previous tenant: ☐ Yes ☐ No

Tenant may not change or add locks without Landlord's written consent and must give Landlord a copy of any approved new key. Tenant pays to replace lost or unreturned keys and openers. Tenant remains responsible for rent and the Premises until all keys and openers are returned to Landlord (leaving them inside the home is not a return unless Landlord agrees in writing).

13. MAINTENANCE AND REPAIRS

Landlord will keep the Premises fit and habitable, comply with building and housing codes, make all necessary repairs, and keep supplied appliances and the electrical, plumbing, heating, cooling, and other systems in good working order, as required by the ARLTA.

Tenant will keep the Premises clean and safe; use all fixtures and appliances reasonably; dispose of trash properly; replace air filters, light bulbs, and smoke/CO detector batteries as needed; and not damage the Premises or allow others to. Tenant must **promptly notify Landlord in writing** of any needed repair, leak, moisture, or mold. Damage caused by Tenant, occupants, guests, or pets beyond normal wear and tear will be repaired at Tenant's expense. A written repair request is Tenant's permission for Landlord to enter to make that repair.

Responsibility for the following items:

Front yard: ☐ Landlord ☐ Tenant ☐ HOA ☐ Not applicable

Back yard:	☐ Landlord	☐ Tenant	☐ HOA	☐ Not applicable
Pool / spa:	☐ Landlord	☐ Tenant	☐ HOA	☐ Not applicable
Routine pest control:	☐ Landlord	☐ Tenant	☐ HOA	☐ Not applicable

14. SAFETY DEVICES AND PROPERTY DISCLOSURES

Smoke detectors: ☐ Installed ☐ Not installed Carbon monoxide detectors: ☐ Installed ☐ Not installed / no gas

Fire sprinklers: ☐ Yes ☐ No Swimming pool or spa: ☐ Yes ☐ No

Tenant must keep detectors working, test them monthly, replace batteries, and report any missing or broken device to Landlord right away. Tenant must not disable any safety device. If there is a pool or spa, Tenant acknowledges receiving the Arizona private pool safety notice and agrees to follow all pool barrier laws and keep gates closed and latched.

Community association (HOA): ☐ No ☐ Yes — name: _____

If yes, Tenant received a copy of the HOA rules and must follow them. Tenant pays any HOA fine caused by Tenant, occupants, guests, or pets. Regular HOA dues are paid by Landlord.

Lead-based paint (check one):

☐ The home was built in 1978 or later.

☐ The home was built before 1978. Tenant received the federal Lead-Based Paint Disclosure and the EPA pamphlet.

Tenant initials: _____ _____

15. BED BUGS (A.R.S. § 33-1319)

Landlord will not knowingly rent a unit with a current bed bug infestation. Tenant received the bed bug information in **Attachment A**. Tenant must promptly report any suspected bed bugs in writing, must not knowingly bring infested items into the home, and must cooperate with inspection and treatment.

Tenant initials: _____ _____

16. LANDLORD ENTRY AND INSPECTIONS (A.R.S. § 33-1343)

Tenant will not unreasonably refuse entry. Landlord may enter at reasonable times, after giving at least **two (2) days' notice**, to inspect, make repairs or improvements, supply services, or show the Premises to buyers, lenders, tenants, or contractors. Landlord may enter without notice in an emergency. Landlord will not abuse the right of entry or use it to harass Tenant. Routine inspections are described in Section 25.

17. ALTERATIONS

Tenant may not paint, wallpaper, install fixtures, satellite equipment, or make any alterations or improvements without Landlord's prior written consent. Tenant will pay to restore the Premises from any unapproved change.

18. INSURANCE

Landlord's insurance: Landlord insures the building and Landlord's property. Landlord's policy does **not** cover Tenant's belongings, vehicles, or Tenant's liability.

Renter's insurance (required): Tenant must carry, at Tenant's own cost, a renter's insurance policy covering Tenant's personal belongings and personal liability for the entire tenancy, and give Landlord proof of coverage **before receiving keys** and at each renewal. Landlord should be listed as an "interested party" so the insurer notifies Landlord if the policy is cancelled. Except for losses caused by Landlord's negligence, Tenant is responsible for loss of Tenant's belongings and for injury or damage caused by Tenant, occupants, guests, or pets. Failure to keep renter's insurance is a material noncompliance.

Minimum personal liability coverage (optional): $ _____

Insurance company: _____ Policy #: _____

19. CONDUCT AND CRIME-FREE PROVISION

Tenant, occupants, and guests must not disturb neighbors' peaceful enjoyment or create a nuisance. They must not engage in or allow on or near the Premises: illegal drug activity; violence or threats of violence; unlawful discharge of a firearm; prostitution; gang activity; or any act that seriously damages property or endangers the health or safety of others. **Such conduct is a material and irreparable breach under A.R.S. § 33-1368(A)(2), allowing immediate termination of this Lease.**

Tenant initials: _____ _____

20. MOVE-IN AND MOVE-OUT

Landlord gives Tenant the **Move-In / Move-Out Condition Form (Attachment B)** at move-in. Tenant must note any existing damage and return it signed within **five (5) days** after move-in; otherwise the Premises are accepted in the condition shown when the tenancy began. Tenant has the right to be present at the move-out inspection and should request the time in writing.

When moving out, Tenant must: leave the Premises clean and in the same condition as at move-in, except normal wear and tear; remove all belongings and trash; return all keys and openers; keep utilities on through the move-out inspection; and give Landlord a **forwarding address in writing** for the deposit refund.

21. EMERGENCY CONTACT AND DEATH OF TENANT

Emergency contact: _____ Phone: _____ Relationship: _____

Tenant authorizes the person above to enter the Premises to remove and store Tenant's belongings if Tenant dies during the tenancy. Otherwise, Landlord will handle belongings as allowed by the ARLTA.

22. NOTICES

Notices must be in writing and delivered in person or by registered or certified mail: to Landlord at the Property Manager (or Owner) address in Section 1, and to Tenant at the Premises. A mailed notice is considered received when actually received or five (5) days after mailing, whichever is first. Tenant may also send routine repair requests by email to the Property Manager.

23. MILITARY SERVICE

A Tenant who enters military service, or who receives orders for a permanent change of station or deployment of 90 days or more, may end this Lease by giving Landlord written notice and a copy of the orders, as allowed by A.R.S. § 33-1413 and the federal Servicemembers Civil Relief Act.

24. GENERAL TERMS

Foreclosure: Landlord will notify Tenant in writing within five (5) days after receiving any trustee's sale or foreclosure notice on the Premises, as required by A.R.S. § 33-1331. Tenant will notify Landlord immediately of any such notice posted or delivered at the Premises.

Attorney fees: In any dispute arising from this Lease, the prevailing party may recover reasonable attorney fees and costs.

Fair housing: Landlord complies with all federal, state, and local fair housing laws.

Waiver: Landlord's failure to enforce a term is not a waiver of that term or of any later breach. Any waiver must be in writing.

Severability: If any part of this Lease is invalid, the rest remains in effect, and the invalid part will be enforced to the extent the law allows.

Entire agreement: This Lease and its attachments are the entire agreement. Changes must be in writing and signed by Landlord and Tenant. Each adult Tenant is jointly and severally (individually and together) responsible for all obligations.

Governing law: Arizona law governs this Lease. The ARLTA controls over any term of this Lease that conflicts with it.

Electronic signatures and copies: This Lease may be signed electronically and in counterparts; signed copies are treated as originals.

Time is of the essence for all deadlines in this Lease.

25. ADDITIONAL TERMS (RULES OF THE PROPERTY)

Breaking these rules is a noncompliance with this Lease. Except in an emergency, Landlord will give Tenant written notice and an opportunity to fix the problem as the ARLTA requires before taking further action.

1. **Respect and quiet enjoyment.** Tenant, occupants, and guests will treat neighbors, Landlord, and Landlord's agents and contractors with courtesy. No harassment, threats, or abusive language. Quiet hours are **10:00 p.m. to 7:00 a.m.**; at all times noise must not disturb neighbors.

2. **Quarterly inspections.** Landlord may inspect the Premises **once every three (3) months** (and at move-in and move-out), with at least two (2) days' notice as required by A.R.S. § 33-1343. Inspections check condition, safety devices, filters, leaks, and compliance with these rules.

3. **Vehicles.** Only operable, currently registered vehicles may be kept on the property, within the vehicle limit in Section 11. No parking on landscaping, gravel, or the yard.

4. **No vehicle or equipment repairs.** No repair, overhaul, painting, or fluid changes of vehicles, boats, or equipment on the property. Minor emergency work (jump-start, flat tire) is allowed if finished the same day. Tenant pays to clean any oil or fluid stains.

5. **Storage room.** The storage room is for normal household items only. It may not be overfilled, used for business inventory, or used to store flammable or hazardous materials, and items must not block doors, the water heater, or electrical panels.

6. **Yard and exterior kept clean.** The front yard, back yard, driveway, porch, and sides of the home must be kept free of trash, debris, junk, indoor furniture, appliances, and loose items. Trash goes in closed bins; bins are returned out of street view within 24 hours after collection day. If Tenant does not correct a violation after written notice, Landlord may have it cleaned and charge Tenant the reasonable cost as allowed by the ARLTA.

7. **No business or hazardous use.** No business that brings customers or traffic to the Premises, and no storage of fuel, chemicals, or explosives beyond normal household amounts.

Other terms agreed for this property:

26. ACKNOWLEDGMENTS AND SIGNATURES

By signing, each Tenant confirms that Tenant: (a) read and understands this entire Lease; (b) was told a free copy of the ARLTA is available from the Arizona Department of Housing; (c) received the Move-In / Move-Out Condition Form (Attachment B) and the bed bug information (Attachment A); (d) knows of the right to be present at the move-out inspection; and (e) received a complete signed copy of this Lease and all attachments.

Attachments: ☐ A – Bed Bug Information ☐ B – Move-In/Move-Out Form ☐ Lead Paint Disclosure ☐ HOA Rules

☐ Other: _____

Tenant 1 signature	Printed name	Date
Tenant 2 signature	Printed name	Date
Tenant 3 signature	Printed name	Date
Tenant 4 signature	Printed name	Date
Landlord / Authorized Agent of Hidalgo Two LLC signature	Printed name	Date

ATTACHMENT A — BED BUG INFORMATION

Arizona law (A.R.S. § 33-1319) requires landlords to give tenants educational information about bed bugs. Please read this page and keep it.

What are bed bugs?
Small, flat, reddish-brown insects about the size of an apple seed that feed on human blood, usually at night. They hide in mattress seams, box springs, bed frames, headboards, furniture, cracks, and behind outlet covers and baseboards. They do not mean a home is dirty — they travel easily in luggage, clothing, and used furniture.

Signs of bed bugs
Itchy bites, often in a line or cluster; small rust-colored or dark spots on sheets or mattresses; shed skins or eggs in seams; live bugs; a musty odor.

How to prevent them
Inspect used furniture, mattresses, and clothing before bringing them home — avoid furniture left on the curb. Check luggage and hotel beds when traveling; wash and dry travel clothes on high heat when you return. Reduce clutter, especially around beds. Consider a bed bug–proof mattress encasement.

If you think you have bed bugs
Notify the Landlord/Property Manager in writing right away — early treatment is faster and cheaper. Do **not** use over-the-counter foggers or “bug bombs”: they scatter bed bugs into other rooms. Do not move furniture or belongings to another home until treated. Cooperate with inspection and treatment, and follow the pest professional’s preparation instructions.

Washing and drying
Bed bugs and eggs die at high heat. Wash bedding and clothing in hot water and dry on the highest dryer setting for at least 30 minutes. Seal cleaned items in plastic bags until treatment is finished.

More information
U.S. EPA: epa.gov/bedbugs • Arizona Department of Housing: housing.az.gov

I/We received and read this bed bug information.

Tenant signature	Printed name	Date
Tenant signature	Printed name	Date

ATTACHMENT B — MOVE-IN / MOVE-OUT CONDITION FORM

Premises: _____ Tenant(s): _____

Move-in inspection date: _____ Move-out inspection date: _____

Describe the condition of each item (e.g., clean, new, scratched, stained, chipped, missing, not working). Tenant must return this form within **five (5) days** after move-in. Photos/video are recommended for both inspections.

Item	Condition at MOVE-IN	Condition at MOVE-OUT
Entry / Living Room		
Walls & ceiling		
Floors / carpet		
Doors, locks & windows		
Blinds / screens		
Lights, outlets & fans		
Kitchen		
Walls, floors & cabinets		
Counters & sink		
Refrigerator		
Range / oven / hood		
Dishwasher / microwave		
Bedroom 1		
Walls, ceiling & floors		
Closet, doors & windows		
Bedroom 2		
Walls, ceiling & floors		
Closet, doors & windows		
Bedroom 3		
Walls, ceiling & floors		
Closet, doors & windows		
Bathroom(s)		
Toilet, tub & shower		
Sink, vanity & mirror		
Floors, walls & fan		
Laundry / Garage / Storage		
Washer / dryer hookups		
Garage door & opener		
Storage room		
Water heater / A/C filter		

Item	Condition at MOVE-IN	Condition at MOVE-OUT
Exterior		
Front yard		
Back yard		
Driveway / patio		
Smoke / CO detectors tested		

Keys received at move-in (doors / garage openers / mailbox / other):

Meter readings at move-in (electric / gas / water), if applicable:

Notes:

Move-in: Tenant and Landlord agree this form shows the condition at move-in.

Tenant signature | Printed name | Date

Landlord / Agent signature | Printed name | Date

Move-out: Signed at the move-out inspection. Tenant forwarding address for deposit refund:

Tenant signature | Printed name | Date

Landlord / Agent signature | Printed name | Date